

3.1.2 The Allocation of Resources in Competitive Markets

The Determinants of the Demand for Goods and Services

Candidates should know that the demand curve shows the relationship between price and quantity demanded, and understand the causes of shifts in the demand curve.

Price, Income and Cross Elasticities of Demand

Candidates should be able to calculate price, income and cross elasticities of demand and understand the factors that influence these elasticities of demand. They should understand the relationships between price elasticity of demand and firms' total revenue (total expenditure), and between income elasticity of demand and normal and inferior goods.

The Determinants of the Supply of Goods and Services

Candidates should be aware that, other things being equal, higher prices imply higher profits and that this will provide the incentive to expand production. They should understand the causes of shifts in the supply curve.

Price Elasticity of Supply

Candidates should be able to calculate price elasticity of supply and understand the factors that influence price elasticity of supply.

The Determination of Equilibrium Market Prices

Candidates should understand how the interaction of demand and supply determines equilibrium prices in a market economy. They should understand the difference between equilibrium and disequilibrium, and between excess demand and excess supply.

Applications of Demand and Supply Analysis to Particular Markets

Candidates should be able to apply their knowledge of the basic model of demand and supply to markets, including commodity markets such as oil and copper markets, agriculture, health care, housing, sport and leisure.

The Interrelationship Between Markets

Candidates should be aware that changes in a particular market are likely to affect other markets. They should, for example, be able to explore the impact of the introduction of a new product and a new supplier in a competitive market.

Candidates should understand the implications of joint demand, demand for substitute goods, composite demand, derived demand and joint supply.

How Markets and Prices Allocate Resources

Candidates should understand the rationing, incentive and signalling functions of prices in allocating resources and co-ordinating the decisions of buyers and sellers in a market economy.

They should also be able to use the economists' model of the market mechanism to assess the effectiveness of markets in allocating resources.

*Note: candidates are **not** expected to know the formal model of perfect competition and the associated diagrammatic analysis using cost and revenue curves. This is assessed in Unit 3.*